

the survivor, at the value estimated at the last stocktaking, and a partner dies having appointed three executors, one of whom is a co-partner, and another afterwards becomes a co-partner, and the testator's share is left in the business and traded with, the two executors who are in the firm are not answerable for profits, but only for the capital of the testator's share with interest. The surviving partners are in this case regarded as purchasers of the share of the deceased, at the price expressed by the articles, and the two executors are answerable on the footing only of having left outstanding a debt, which they ought in a reasonable time to have got in (*g*).

[*279] *9. *Agents, &c.* — The foregoing principle that trustees are not to profit by the trust applies to *agents* (*a*), *guardians* (*b*), (who are trustees to the extent of the property come to their hands (*c*)), *directors* of a company (*d*), secretary of a company (*e*), [promoters of a company (*f*).] *inspectors* under creditor deeds (*g*), the *mayor* of

(*g*) *Vyse v. Foster*, 8 L. R. Ch. App. 309; affirmed, 7 L. R. H. L. 318. The judgment of L. J. James should be read, to see the principles upon which the Court now acts. The Court in this case viewed the claim against the surviving parties, though one of them was also executor, as a debt only, and, as such, not giving a right to an account of profits, and the Court observed that, although there had been hundreds, probably thousands, of cases in which traders had been executors, and in which, on taking the accounts, balances, and large balances, had been found due from them, yet where there had been *no active breach of trust*, in the getting in or selling out trust assets, but there had been a mere balance on the account of receipts and payments, the omission to invest the balance had never made the executor liable to account for the profits of his own trade. *Ib.* p. 335.

(*a*) *Morret v. Paske*, 2 Atk. 54, *per* Lord Hardwicke.

(*b*) *Powell v. Glover*, 3 P. W. 251, *note*.

(*c*) *Sleeman v. Wilson*, 13 L. R. Eq. 41, *per Cur.*

(*d*) *Great Luxembourg Railway Company v. Magnay*, 25 Beav. 586; *Imperial Mercantile Credit Association v. Coleman*, 6 L. R. Ch. App. 558; 6 L. R. H. L. 189; *Parker v. McKenna*, 10 L. R. Ch. App. 96; *In re Imperial Land Company of Marseilles Ex parte Larking*, 4 Ch. D. 566; [*Nant-y-glo and Blaina Iron-works Company v. Grave*, 12 Ch. D. 738.]

(*e*) *In re McKay's case*, 2 Ch. D. 1.

[(*f*) *New Sombbrero Phosphate Company v. Erlanger*, 5 Ch. D. 73; *Bagnall v. Carleton*, 6 Ch. D. 371; *Emma Silver Mining Company v. Grant*, 11 Ch. D. 918; *Emma Silver Mining Company v. Lewis*, 4 C. P. D. 396.]

(*g*) *Chaplin v. Young*, (No. 2), 33 Beav. 414.